No. 24-1997

IN THE UNITED STATES COURT OF APPEALS FOR THE THIRD CIRCUIT

Neil Binder,

Plaintiff/Appellant,

v.

Coldwell Banker Real Estate LLC,

Defendant/Appellee.

On appeal from the Orders entered in the United States District Court for the District of New Jersey dated October 5, 2023, and May 16, 2024, in No. 22-07425

BRIEF FOR APPELLEE COLDWELL BANKER REAL ESTATE LLC

Daniel M. Eliades
K&L GATES LLP
One Newark Center, 10th Floor
Newark, NJ 07102
Counsel for Appellee Coldwell Banker Real Estate LLC
(973) 848-4000 (telephone)

CORPORATE DISCLOSURE STATEMENT

Appellee Coldwell Banker Real Estate LLC is a wholly-owned subsidiary of Coldwell Banker LLC, which is a wholly-owned subsidiary of Anywhere Real Estate Services Group LLC, which is a wholly-owned subsidiary of Anywhere Real Estate Group LLC, which is a wholly-owned subsidiary of Anywhere Real Estate Intermediate Holdings LLC, which is a wholly-owned subsidiary of Anywhere Real Estate Inc.

Anywhere Real Estate Inc. is a publicly traded corporation.

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JURISDICTIONAL STATEMENT

The district court had jurisdiction pursuant to 28 U.S.C. § 1332. This Court has jurisdiction under 28 U.S.C. § 1291. The district court granted Coldwell Banker's Motion to Dismiss on September 25, 2023, and denied a subsequent Motion for Reconsideration on May 16, 2024. The appellant filed his notice of appeal on May 21, 2024.

ISSUE PRESENTED

Do the doctrines of res judicata and collateral estoppel preclude Mr. Binder from re-litigating, in the current action, issues previously raised and decided in the prior action?

STATEMENT OF THE CASE

A. Factual Background

This litigation arises out of Mr. Binder's attempt to collaterally attack a matter that was already adjudicated by the District Court, which judgment was affirmed by this Court. In August 2022, this Court heard and adjudicated Mr. Binder's appeal of a District Court judgment against him and in favor of Coldwell Banker. See *Coldwell Banker Real Est. LLC v. Bellmarc Grp. LLC*, No. 21-2862, 2022 WL 3644183 (3d Cir. Aug. 24, 2022) (the "Prior Appeal"). For the Court's ease of reference, the undisputed facts identified in the Prior Appeal are repeated below.

Coldwell Banker is a real estate brokerage franchisor. In 2013, Coldwell Banker executed a franchise agreement and a series of addendums with several entities directed by Mr. Binder (the "Franchisees") (the agreements are collectively referred to as the "Franchise Agreements"). *Id.* The Franchise Agreements required Mr. Binder's companies to pay certain royalty and marketing fees. *Id.* As part of the agreements, Mr. Binder "executed a guarantee of payment and performance to Coldwell Banker for the Franchisees." *Id.*

The Franchise Agreements permitted the Franchisees to qualify for certain forgivable loans provided that the Franchisees "met certain revenue thresholds and complied with the Franchise Agreements; otherwise, the loan had to be paid back to Coldwell Banker." *Id.* Coldwell Banker loaned the Franchisees $1,250,000 in June 2013 and $187,500 on January 6, 2014. *Id.* On January 8, 2014, the Franchisees ceased paying the required royalty and marketing fees because of Mr. Binder belief that he was owed the reimbursement of certain advertising costs that he believed Coldwell Banker owed him. *Id.*

Following the Franchisees' default, Coldwell Banker terminated the Franchise Agreements and in December 2014 pursued an action against the Franchisees, and Mr. Binder, in the District Court (the "Prior Action"). *Id.* at *2. Mr. Binder and the Franchisees filed counterclaims against Coldwell Banker. *Id.* In September 2021, following a bench trial, the District Court "concluded that Coldwell Banker had proved its breach of contract claims and denied defendants' remaining counterclaim." *Id.*

Binder appealed the judgment, and this Court affirmed it. *Id.* Among other things, this Court affirmed the District Court's decision to exclude the "Tables and Graphs" that are yet again central to Mr. Binder's current appeal. *Id.* at *3.

B. Procedural Background

On December 13, 2022, Mr. Binder initiated this action. ECF No. 1. Mr. Binder filed an amended complaint on January 18, 2023. ECF No. 5 (the "Amended Complaint"). In the Amended Complaint, Mr. Binder alleged that:

> During [the prior trial], CB purposely submitted documents into evidence that it knew were fraudulent. As a consequence, the Court believed that Bellmarc was delinquent in its obligations under a Franchise Agreement signed by the parties. However, if truthful documents had been submitted it would have revealed that Bellmarc and Plaintiff were always in compliance with the Franchise Agreement. The issue in this case centers on disclosure of this fraud and the consequence to Plaintiff.

On March 2, 2023, Binder filed a Motion to Recuse Judge Madeline Cox Arleo. ECF No. 9. Coldwell Banker filed a Motion to Dismiss the Complaint on March 20, 2023. ECF No. 13. The District Court denied Binder's recusal motion and granted Coldwell Banker's Motion to Dismiss on September 25, 2023. A002-A006. As it pertains to the Motion to Dismiss, the District Court concluded that the Prior Action and the Prior Appeal precluded Mr. Binder from pursuing this action under the doctrine of res judicata and collateral estoppel. A004.

On October 5, 2023, Mr. Binder filed a Motion for Reconsideration of the District Court's decision. ECF No. 41. On May 16, 2024, the District Court denied Mr.

Binder's Motion. ECF No. 44; A007-A008. On May 21, 2024, Mr. Binder filed a Notice of Appeal, appealing the District Court's Orders. A001.

SUMMARY OF THE ARGUMENT

1. The doctrines of res judicata and collateral estoppel preclude Mr. Binder from re-litigating the Prior Action through this action. Mr. Binder had a full and fair opportunity to litigate the evidentiary matters he raises now and the Prior Action contains numerous references to Mr. Binder raising similar arguments to the ones he raises now. Indeed, this Court affirmed the exclusion of the "Tables and Graphs," the document Mr. Binder contends is "critical" to purportedly proving "the pervasive level of fraud and perjury." Mr. Binder's current appeals presents nothing new for this Court to consider.

2. To the extent Mr. Binder contends that he is entitled to challenge the Prior Action pursuant to Rule 60, Mr. Binder has failed to plead any facts to suggest that his challenge is timely. To the extent that Mr. Binder contends that fraud was perpetrated on the Court (pursuant to Rule 60(d)(3)), Mr. Binder fails to plead any facts to suggest that such fraud was perpetrated by an officer of the court.

THE STANDARD OF REVIEW

Mr. Binder appeals the District Court's grant of Coldwell Banker's Motion to Dismiss and the District Court's subsequent denial of his Motion for Reconsideration.

This Court exercises a plenary review when reviewing a grant of a motion to dismiss. See, e.g., *Children's Seashore House v. Waldman*, 197 F.3d 654, 658 (3d Cir. 1999).

ARGUMENT

I. Res judicata precludes Mr. Binder's attempt to relitigate the Prior Action.

Res judicata bars re-litigation of claims which actually were or which could have been asserted in a prior proceeding. *In re Mullarkey*, 536 F.3d 215, 225 (3d Cir. 2008). Thus, the res judicata bar applies where three factors are present: "'(1) a final judgment on the merits in a prior suit involving (2) the same parties or their privies and (3) a subsequent suit based on the same cause of action.'" *Id.* (quoting *Lubrizol Corp. v. Exxon Corp.*, 929 F.2d 960, 963 (3d Cir. 1991)).

The broad concept of res judicata is composed of two similar, but separate concepts, issue preclusion and claim preclusion. See *Migra v. Warren City School District*, 465 U.S. 75, 77 n. 1 (1984). Although these doctrines both govern the preclusive effects of a former adjudication, they are applied in different ways. "Issue preclusion refers to the effect of a judgment in foreclosing re-litigation of a matter that has been litigated and decided." *Id.* "Claim preclusion refers to the effect of a judgment in foreclosing litigation of a matter that never has been litigated, because of a determination that it should have been advanced in an earlier suit." *Id.* The purpose of precluding "parties from contesting matters that they have had a full and fair

opportunity to litigate protects their adversaries from the expense and vexation attending multiple lawsuits, conserves judicial resources, and fosters reliance on judicial action by minimizing the possibility of inconsistent decisions." *Montana v. United States*, 440 U.S. 147, 153-54 (1979).

The "purpose of [the res judicata] doctrine is to relieve the parties of the cost and vexation of multiple lawsuits, conserve judicial resources, prevent inconsistent decisions, and encourage reliance on adjudications." *Turner v. Crawford Square Apartments III, L.P.*, 449 F.3d 542, 551 (3d Cir. 2006). Thus, res judicata not only bars re-litigation in a second suit of what was actually litigated in the first suit, but res judicata also bars re-litigation of what could have been litigated in the first suit.

The third prong, the causes of action or "claims" extinguished by res judicata, include all rights of the plaintiff to remedies against the defendant with respect to the transaction or series of connected transactions out of which the suit arose. Restatement (Second) of Judgments § 24 (1982); United States v. Athlone Industries, Inc., 746 F.2d 977, 983-984 (3rd Cir. 1984).

Here, Mr. Binder readily acknowledges the first two prongs: that the parties to this action were parties to the Prior Action and that the Prior Action reached final judgment. Brief at 2.

On the third prong, it is clear that the totality of Mr. Binder's case is predicated upon his grievances regarding the Franchise Agreement and the Prior Action. Indeed, Mr. Binder uses the phrase "Franchise Agreement" at least 42 times in his brief. Further,

each and every one of the arguments that Mr. Binder addresses in his brief relate to documents that were either addressed in the Prior Action or produced during that litigation, such that any issues relating in any way to such documents could have and should have been brought in the Prior Action.

On appeal, Mr. Binder makes no effort to address the District Court's conclusion that "Although Plaintiff's allegations are labeled as fraud claims, Plaintiff essentially seeks a re-trial on the same set of facts already litigated—whether he defaulted on the Franchisee Agreements in violation of the parties' contract." A005.

Instead, Mr. Binder argues that res judicata does not apply because he contends that he is challenging the prior judgment pursuant to Rule 60(d). Brief at 48-49. As further discussed in Section III of this brief, however, Mr. Binder cannot meet the exacting standard of seeking Relief pursuant to Rule 60(d). Critically, Mr. Binder does not plead any facts to explain when he learned of the alleged fraud by Coldwell Banker, nor does he plead any facts to refute what his brief makes obvious: his allegations of fraud are merely disagreements with the evidence presented in the Prior Appeal and the District Court's rulings in that action. See *800 Servs., Inc. v. AT&T Corp.*, 822 F. App'x 98 (3d Cir. 2020) ("Litigants routinely disagree about how courts should view evidence. But the losing party cannot just repackage that disagreement to claim that the winning party committed fraud on the court.").

II. Collateral estoppel also precludes Mr. Binder's attempt to relitigate the Prior Appeal.

Collateral estoppel is a doctrine related to res judicata, which prevents the re-litigation of an issue, as opposed to a claim, "which was actually determined in a prior action, generally between the same parties, involving a different claim or cause of action." *Parkland Hosiery Co. v. Shore*, 439 U.S. 322, 326 (1979); *Mullarkey*, 536 F.3d at 225. The elements of collateral estoppel are: (1) The issue to be precluded is identical to the issue decided in the prior proceeding; (2) the issue was actually litigated in the prior proceeding; (3) the court in the prior proceeding issued a final judgment on the merits; (4) the determination of the issue was essential to the prior judgment; and (5) the party against whom the doctrine is asserted was a party to or in privity with a party to the earlier proceeding. *Mullarkey*, 536 F.3d at 225.

Collateral estoppel prevents "successive litigation of an issue of fact or law actually litigated and resolved in a valid court determination essential to the prior judgment, even if the issue recurs in the context of a different claim." *Taylor v. Sturgell*, 553 U.S. 880, 892 (2008).

Mr. Binder does not dispute the District Court's conclusion that Mr. Binder is merely re-litigating the same set of facts already litigated in the Prior Action. A005. Instead, Mr. Binder appears to argue that collateral estoppel does not apply because of his perception that Coldwell Banker had a "plan to deceive the Court." Brief at 50-51. As addressed more fully in Section III below, to the extent Mr. Binder refers to relief

under Rule 60(d)(3), such relief is improper because the fraud on the court must have been committed by an "officer of the court." *Herring v. United States*, 424 F.3d 384, 386 (3d Cir. 2005). There are no allegations that any officer of the court partook in the alleged fraudulent conduct.

III. Mr. Binder's attempt to seek relief under F.R.C.P. Rule 60 is improper.

The District Court did not specifically address Mr. Binder's argument concerning to F.R.C.P. Rule 60, most likely because it was not coherently presented to the court. Nonetheless, to the extent the Court is inclined to address Mr. Binder's argument, Coldwell Banker respectfully submits that Mr. Binder's Rule 60 challenges are untimely.

A. Mr. Binder has not properly pled that the Prior Appeal should be overturned because of alleged fraud on the court pursuant to Rule 60(d)(3).

"Litigants routinely disagree about how courts should view evidence. But the losing party cannot just repackage that disagreement to claim that the winning party committed fraud on the court." *800 Servs., Inc. v. AT&T Corp.*, 822 F. App'x 98 (3d Cir. 2020). This Court has described the standard to prove fraud on the court as "demanding" and requiring that a party prove that there was a "(1) an intentional fraud; (2) by an officer of the court; (3) which is directed at the court itself; and (4) in fact deceives the court." *Herring*, 424 F.3d at 386. Critically, the fraud must be committed

"by an officer of the court." *Id.* Moreover, "perjury by a witness is not enough to constitute fraud upon the court." *Herring*, 424 F.3d at 390.

Here, to the extent Mr. Binder alleges that any fraud took place, he has not pled any facts to suggest that any of it was perpetrated by any "officer of the court." Indeed, he does not even allege that counsel was aware of the fraud let alone allowed it to happen. By definition, Mr. Binder has failed to properly plead relief pursuant to Rule 60(d)(3).

B. Mr. Binder's Rule 60(b) challenge is untimely.

Motions seeking relief under any of these provisions must be made "within a reasonable time" but "no more than a year after the entry of the judgment or order or the date of the proceeding." Fed. R. Civ. P. 60(c)(1). The District Court issued its judgment on September 9, 2021. A003. Mr. Binder initiated the present action more than a year later, on December 13, 2022. ECF No. 1. Importantly, "[t]he one year time limit is not extended by the maintenance of an appeal." *Hancock Indus. v. Schaeffer*, 811 F.2d 225, 239 (3d Cir. 1987) (internal quotes omitted). Because Mr. Binder has not identified any new evidence of impropriety, let alone any evidence identified "within a reasonable time," his appeal should be denied.

CONCLUSION

Appellee Coldwell Banker respectfully requests that the Court affirm the judgment of the district court.

Respectfully submitted,

s/ Daniel M. Eliades
DANIEL M. ELIADES
K&L GATES LLP
One Newark Center, 10th Floor
Newark, NJ 07102
(973) 848-4000 (telephone)
Daniel.Eliades@klgates.com

September 12, 2024

CERTIFICATE OF BAR MEMBERSHIP

I hereby certify that at least one of the attorneys whose names appear on this brief is a member of the bar of this Court.

s/ Daniel M. Eliades
Daniel M. Eliades
K&L GATES LLP
One Newark Center, 10th Floor
Newark, NJ 07102
(973) 848-4000 (telephone)
Daniel.Eliades@klgates.com

ELECTRONIC-FILING CERTIFICATION

I hereby certify that the text of the electronically filed brief is identical to the text in the paper copies. I also certify that a virus detection program has been run on the electronic file and that no virus was detected. The virus detection program used, and its version, is _____.

s/ Daniel M. Eliades
Daniel M. Eliades
K&L GATES LLP
One Newark Center, 10th Floor
Newark, NJ 07102
(973) 848-4000 (telephone)
Daniel.Eliades@klgates.com

CERTIFICATE OF COMPLIANCE

1. This brief complies with the type-volume limitation of Fed. R. App. P. 32(a)(7)(B) because it contains 2,421 words, excluding the parts of the brief exempted by Fed. R. App. P. 32(f). The count includes 0 words counted by hand in any visual images.
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s/ Daniel M. Eliades
Daniel M. Eliades
K&L GATES LLP
One Newark Center, 10th Floor
Newark, NJ 07102
(973) 848-4000 (telephone)
Daniel.Eliades@klgates.com

CERTIFICATE OF SERVICE

I certify that on September 12, 2024 I caused the foregoing Brief for Appellee Coldwell Banker Real Estate LLC to be served by electronic mail and Federal Express on the following:

Neil Binder, 585 Dune Road, Apt. 37ab, West Hampton Beach, NY 11978

s/ Daniel M. Eliades
Daniel M. Eliades
K&L GATES LLP
One Newark Center, 10th Floor
Newark, NJ 07102
(973) 848-4000 (telephone)
Daniel.Eliades@klgates.com